

Account aggregators (AAs) can simplify the process of applying for loans by allowing users to share financial data with lenders, reducing the need for physical documentation

Financial institutions can regularly monitor transaction data and loan accounts through early warning signals

With user consent, an account aggregator platform can help financial institutions consolidate all financial data of the customer

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could change beyond anybody's expectations. And this will accelerate India's journey to becoming a developed nation, or Viksit Bharat, by 2047.

THE AA CHIP

The AA model works like this: the platform collects financial data of customers, with their consent, from banks and makes it accessible to other financial institutions. So, banks can share customer information with other banks and non-bank players like insurance firms and mutual funds. This allows customers to access

competitive loan, insurance, and investment offers without having to submit details every time.

The AA system is a 'data-blind pipe', meaning it merely facilitates the encrypted transfer of data between the client and financial institution. The data remains fully encrypted throughout, ensuring privacy and security. Basically, the AA acts as the "consent manager", ensuring that all data exchanges are backed by proper authorisation.

The ecosystem involves multiple entities that work together. There are financial information providers (FIPs) like banks, finan-

cial information users (FIUs) like other financial entities, including banks, and the AAs themselves. In all, there are more than 600 players in the AA ecosystem, about 150 FIPs, 450 FIUs, and 15 AAs. At present, there are 80-90 million people using AA.

Tejinder Pal Singh Manchanda, CEO of CAMS Financial Information Services, part of mutual fund transfer agency CAMS, likens the AA system to a tsunami that will reshape the landscape in much the same way that UPI did. "With UPI, no one saw it coming until it hit. AA is the next tsunami, rising in